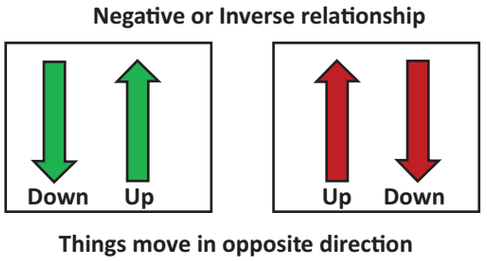
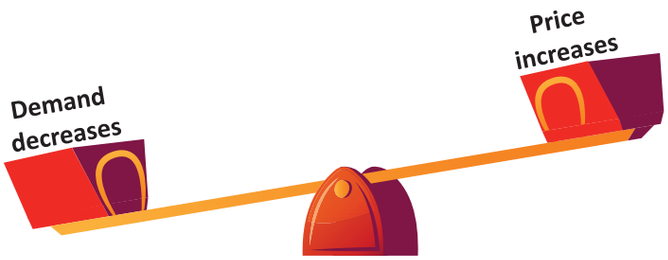
2) Negative correlation: (Inverse correlation)



The variables are said to be negatively correlated if smaller values of x are associated with larger values of y or larger values x are associated with smaller values of y. That is the variables varying in the ***opposite directions*** is said to be negatively correlated. In other words, if one variable increases the other variable decreases and vice versa.





For example,

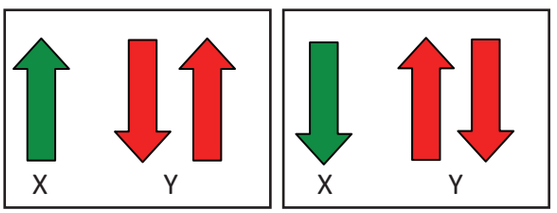
i) Price and demand

ii) Unemployment and purchasing power

3) Uncorrelated:

The variables are said to be uncorrelated if smaller values of x are associated with smaller or larger values of y and larger values of x are associated with larger or smaller values of y. If the two variables do not associate linearly, they are said to be uncorrelated. Here $r = 0$.

Important note: Uncorrelated does not imply independence. This means "do not interpret as the two variables are independent instead interpret as there is no specific linear pattern exists but there may be non linear relationship".



4) Perfect Positive Correlation

If the values of x and y increase or decrease ***proportionately*** then they are said to have perfect positive correlation.

5) Perfect Negative Correlation

If x increases and y decreases ***proportionately*** or if x decreases and y increases ***proportionately***, then they are said to have perfect negative correlation.

Correlation Analysis

The purpose of correlation analysis is to find the existence of linear relationship between the variables. However, the method of calculating correlation coefficient depends on the types of measurement scale, namely, ratio scale or ordinal scale or nominal scale.

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